## EXERCISES: SET B

*Classify the three activities of accounting.*
**(LO 1)**

**E1-1B** Sophie Company performs the following accounting tasks during the year.

_____Summarizing economic events.
_____Selecting economic activities relevant to the company.
_____Reporting information in a standard format.
_____Preparing accounting reports.
_____Measuring events in dollars and cents.
_____Keeping a systematic chronological diary of events.
_____Explaining uses, meaning, and limitations of data.
_____Classifying economic events.
_____Analyzing and interpreting information.

Accounting is "an information system that **identifies**, **records**, and **communicates** the economic events of an organization to interested users."

***Instructions***
Categorize the accounting tasks performed by Sophie as relating to either the identification (I), recording (R), or communication (C) aspects of accounting.

*Identify users of accounting information.*
**(LO 1)**

**E1-2B** (a) The following are users of financial statements.

_____Customers
_____Internal Revenue Service
_____Labor unions
_____Factory manager
_____Vice-president of finance
_____Securities and Exchange Commission
_____Investors
_____Suppliers
_____Human resource worker

***Instructions***
Identify the users as being either **external users** or **internal users**.

(b) The following questions could be asked by an internal user or an external user.

_____What price should we set for our product?
_____Did the company earn a satisfactory income?
_____Should we hire more employees?
_____How does the company's profitability compare to other companies?
_____What does it cost us to manufacture each unit produced?
_____Which product should we emphasize?
_____Will the company be able to provide a return to its stockholders?

***Instructions***
Identify each of the questions as being more likely asked by an **internal user** or an **external user**.

*Discuss ethics and the historical cost principle.*
**(LO 1)**

**E1-3B** Rick Payne, president of Lions Company, has instructed Ken Mason, the head of the accounting department for Lions Company, to report the company's land in the company's accounting reports at its fair value of $225,000 instead of its cost of $125,000. Payne says, "Showing the land at $225,000 will make our company look like a better investment when we try to attract new investors next month."

***Instructions***
Explain the ethical situation involved for Ken Mason, identifying the stakeholders and the alternatives.

*Use accounting concepts.*
**(LO 2)**

**E1-4B** The following situations involve accounting principles and assumptions.

1. Hodge Company owns land that is worth substantially more than it originally cost. In an effort to provide more relevant information, Hodge reports the land at fair value in its accounting reports.
2. Franklin Company includes in its accounting records only transaction data that can be expressed in terms of money.
3. Jose Ortiz, owner of Jose's MovieHouse, records his personal living costs as expenses of the MovieHouse.

***Instructions***
For each of the three situations, say if the accounting method used is correct or incorrect. If correct, identify which principle or assumption supports the method used. If incorrect, identify which principle or assumption has been violated.

*Classify accounts as assets, liabilities, and owner's equity.*
**(LO 3)**

**E1-5B** Luther Cleaners has the following balance sheet items.

| | |
|---|---|
| Accounts payable | Accounts receivable |
| Cash | Notes payable |
| Equipment | Rent payable |
| Supplies | Owner's capital |

***Instructions***
Classify each item as an asset, liability, or owner's equity.

*Analyze the effect of transactions.*
**(LO 3, 4)**

**E1-6B** Selected transactions for Lush Lawn Care Company are listed below.

1. Made cash investment to start business.
2. Purchased equipment on account.
3. Paid salaries.
4. Billed customers for services performed.
5. Received cash from customers billed in (4).
6. Withdrew cash for owner's personal use.
7. Incurred advertising expense on account.
8. Purchased additional equipment for cash.
9. Received cash from customers when service was performed.

***Instructions***
List the numbers of the above transactions and describe the effect of each transaction on assets, liabilities, and owner's equity. For example, the first answer is: (1) Increase in assets and increase in owner's equity.

*Analyze the effect of transactions on assets, liabilities, and owner's equity.*
**(LO 3, 4)**

**E1-7B** Rita's Payroll Services Company entered into the following transactions during May 2017.

1. Purchased computer terminals for $15,000 from Comp-time on account.
2. Paid $3,000 cash for May rent on storage space.
3. Received $12,000 cash from customers for contracts billed in April.
4. Provided computer services to Magic Construction Company for $2,500 cash.
5. Paid Northern Ohio Power Co. $7,000 cash for energy usage in May.
6. Rita invested an additional $25,000 in the business.
7. Paid Comp-time for the terminals purchased in (1) above.
8. Incurred advertising expense for May of $900 on account.

***Instructions***
Indicate with the appropriate letter whether each of the transactions above results in:

(a) an increase in assets and a decrease in assets.
(b) an increase in assets and an increase in owner's equity.
(c) an increase in assets and an increase in liabilities.
(d) a decrease in assets and a decrease in owner's equity.
(e) a decrease in assets and a decrease in liabilities.
(f) an increase in liabilities and a decrease in owner's equity.
(g) an increase in owner's equity and a decrease in liabilities.

*Analyze transactions and compute net income.*
**(LO 4)**

**E1-8B** An analysis of the transactions made by Holmes & Co., a certified public accounting firm, for the month of August is shown on the next page. The expenses were $820 for rent, $5,400 for salaries and wages, and $500 for utilities.

| | | | | | | | Owner's Equity | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Cash | + Accounts Receivable | + Supplies | + Equipment | = Accounts Payable | + Owner's Capital | − Owner's Drawings | + Revenues | − Expenses |
| 1. | +$20,000 | | | | | +$20,000 | | | |
| 2. | −2,000 | | | +$5,000 | +$3,000 | | | | |
| 3. | −750 | | +$750 | | | | | | |
| 4. | +5,600 | +$2,700 | | | | | | +$8,300 | |
| 5. | −1,500 | | | | −1,500 | | | | |
| 6. | −2,000 | | | | | | −$2,000 | | |
| 7. | −820 | | | | | | | | $820 |
| 8. | +450 | −450 | | | | | | | |
| 9. | −5,400 | | | | | | | | −5,400 |
| 10. | | | | | +500 | | | | −500 |

***Instructions***

(a) Describe each transaction that occurred for the month.
(b) Determine how much owner's equity increased for the month.
(c) Compute the amount of net income for the month.

**E1-9B** An analysis of transactions for Holmes & Co. was presented in E1–8B.

*Prepare financial statements.*

**(LO 5)**

***Instructions***

Prepare an income statement and an owner's equity statement for August and a balance sheet at August 31, 2017.

**E1-10B** Dunn Company had the following assets and liabilities on the dates indicated.

*Determine net income (or loss).*

**(LO 4)**

| December 31 | Total Assets | Total Liabilities |
|---|---|---|
| 2016 | $390,000 | $240,000 |
| 2017 | $460,000 | $280,000 |
| 2018 | $590,000 | $360,000 |

Dunn began business on January 1, 2016, with an investment of $100,000.

***Instructions***

From an analysis of the change in owner's equity during the year, compute the net income (or loss) for:

(a) 2016, assuming Dunn's drawings were $20,000 for the year.
(b) 2017, assuming Dunn made an additional investment of $55,000 and had no drawings in 2017.
(c) 2018, assuming Dunn made an additional investment of $10,000 and had drawings of $20,000 in 2018.

**E1-11B** Two items are omitted from each of the following summaries of balance sheet and income statement data for two proprietorships for the year 2017, Gary Carmel and Taso Enterprises.

*Analyze financial statements items.*

**(LO 3, 4)**

| | Gary Carmel | Taso Enterprises |
|---|---|---|
| Beginning of year: | | |
| Total assets | $ 115,000 | $129,000 |
| Total liabilities | 90,000 | (c) |
| Total owner's equity | (a) | 78,000 |
| End of year: | | |
| Total assets | 160,000 | 180,000 |
| Total liabilities | 100,000 | 50,000 |
| Total owner's equity | 60,000 | 130,000 |
| Changes during year in owner's equity: | | |
| Additional investment | (b) | 25,000 |
| Drawings | 19,000 | (d) |
| Total revenues | 215,000 | 100,000 |
| Total expenses | 175,000 | 61,000 |

***Instructions***

Determine the missing amounts.

*Prepare income statement and owner's equity statement.*
(LO 5)

**E1-12B** The following information relates to Eusey Co. for the year 2017.

| | | | |
|---|---|---|---|
| Owner's capital, January 1, 2017 | $ 48,000 | Advertising expense | $ 1,800 |
| Owner's drawings during 2017 | 7,000 | Rent expense | 12,000 |
| Service revenue | 65,000 | Utilities expense | 3,100 |
| Salaries and wages expense | 30,000 | | |

***Instructions***
After analyzing the data, prepare an income statement and an owner's equity statement for the year ending December 31, 2017.

*Correct an incorrectly prepared balance sheet.*
(LO 5)

**E1-13B** Mary Colaw is the bookkeeper for Nymeyer Company. Mary has been trying to get the balance sheet of Nymeyer Company to balance. Nymeyer balance sheet is shown below.

**NYMEYER COMPANY**
Balance Sheet
December 31, 2017

| Assets | | Liabilities | |
|---|---|---|---|
| Cash | $11,000 | Accounts payable | $18,000 |
| Supplies | 7,000 | Accounts receivable | (10,500) |
| Equipment | 48,000 | Owner's capital | 64,500 |
| Owner's drawings | 6,000 | Total liabilities and | |
| Total assets | $72,000 | owner's equity | $72,000 |

***Instructions***
Prepare a correct balance sheet.

*Compute net income and prepare a balance sheet.*
(LO 5)

**E1-14B** Linda Pedigo is the sole owner of Wilderness Park, a trailer park near the Lake Tahoe National Recreation Area. Linda has compiled the following financial information as of December 31, 2017.

| | | | |
|---|---|---|---|
| Revenues during 2017—camping fees | $120,000 | Fair value of equipment | $140,000 |
| Revenues during 2017—general store | 60,000 | Notes payable | 50,000 |
| Accounts payable | 12,000 | Expenses during 2017 | 145,000 |
| Cash on hand | 11,000 | Supplies on hand | 3,500 |
| Original cost of equipment | 119,000 | | |

***Instructions***
(a) Determine Linda Pedigo's net income from Wilderness Park for 2017.
(b) Prepare a balance sheet for Wilderness Park as of December 31, 2017.

*Prepare an income statement.*
(LO 5)

**E1-15B** Presented below is financial information related to the 2017 operations of Williamson Company.

| | |
|---|---|
| Maintenance and repairs expense | $ 89,000 |
| Property tax expense (on dock facilities) | 11,000 |
| Salaries and wages expense | 150,000 |
| Advertising expense | 5,500 |
| Ticket revenue | 370,000 |

***Instructions***
Prepare the 2017 income statement for Williamson Company.

*Prepare an owner's equity statement.*
(LO 5)

**E1-16B** Presented below is information related to the sole proprietorship of Jeff Tabor, attorney.

| | |
|---|---|
| Legal service revenue—2017 | $340,000 |
| Total expenses—2017 | 221,000 |
| Assets, January 1, 2017 | 105,000 |
| Liabilities, January 1, 2017 | 63,000 |
| Assets, December 31, 2017 | 165,000 |
| Liabilities, December 31, 2017 | 103,000 |
| Drawings—2017 | ? |

***Instructions***
Prepare the 2017 owner's equity statement for Jeff Tabor's legal practice.